majority of Sikhs, allowing the extremists to retain at least some popular support.

The enduring differences between India and Pakistan suggest Islamabad will continue to provide sanctuary and limited aid to Sikh extremists. We believe Pakistan would significantly increase its support to Sikh extremists only if hostilities were breaking out with India over other issues, such as Kashmir. In this case, Pakistan would see Sikhs as a potential fifth column that would carry out terrorist activities in India and interfere with Indian military efforts. Sikh extremists will remain capable—without outside support—of significantly increasing terrorist operations in Punjab, elsewhere in India, and overseas. Contributions from Sikh temples, profits from narcotics trafficking, and remittances from pro-extremist Sikhs overseas will ensure enough financial support to enable the extremists to continue terrorist activity.

There was also a candid admission in the CIA report that the relationship between the USA and India could suffer because of the presence of Khalistani elements on the USA soil and their continued support to Sikh militancy in Punjab. It said:

India views US policy toward Sikh extremists in the US as a major element in bilateral relations. The presence in the US of 1.5 lakh Sikhs—some who send funds to extremist organisations in India—has made New Delhi eager to see the US act against Sikh extremist activity within its borders. Senior Indian officials—including Prime Minister Rajiv Gandhi—credit Washington for the arrest of several Sikhs in the US on conspiracy charges and welcome repeated US statements supporting Indian unity, according to the US embassy. On the negative side, the government's accusations of Pakistani